

lion generally qualifies as small-cap these days. (The market capitalization is simply the number you come up with when you multiply the number of shares outstanding by the current price per share.) The market capitalization of General Electric, for purposes of comparison, is about \$125 billion.

## **Small Pays Off Big**

But the main reason for preferring small companies is not ease of comprehension or accessibility. I just happen to like the fact that you can make more money with them. You don't have to take my word for that. There are professors who analyze such claims. The most recent study, conducted by Ibbotson Associates, considered stock returns from 1925 through 1995. (There isn't much in the way of reliable stock market data before 1925, but seventy years is a pretty healthy stretch of time.) It found that big companies returned 10.5 percent a year on average, while small companies gave the investor 12.5 percent. Over time, a two-percentage-point advantage makes a huge difference in returns. Even over twenty years, a not unlikely time horizon for investors, \$10,000 compounding at the higher rate turns into \$105,451, a hefty 40 percent more than the \$73,662 that the 10.5-percenter collects. And 10.5 and 12.5 percent are average returns. Doing better than average can create an enormous difference in the outcome.

In recent years, thanks to the extraordinary bull market of the 1980s and 1990s, stocks have been performing well above their seventy-year average. As recorded in the preface, since the Acorn Fund was started in 1970, large-company stocks (as measured by the Standard & Poor's 500 Index) have averaged 13.1 percent a year. Acorn, as also noted, has provided 16.8 percent. The difference in results, after compounding has done its magic, is eye-opening.